

U.S. Semiconductors

Texas Instruments Inc

Rating

Market-Perform

Price Target



290.00 USD (250.00 OLD)



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Texas Instruments (TXN): Q226 recap - The world is not enough?

Texas Instruments' Q2 results were strong (\$5,463M/\$2.14/61.4% vs Street at \$5,234M/\$1.93/59.5%, including a 5 cent benefit not in guidance) with continued industrial recovery and datacenter growth, and more positive auto performance. Industrial grew ~30% YoY and ~10% QoQ; Data center doubled Y/Y and rose ~20% QoQ, and Automotive grew mid-teens % YoY and climbed HSD% QoQ. Personal electronics were flat YoY and were up HSD% QoQ, while communications equipment continued to grow YoY and QoQ. Gross margins at 61.4% were ~185bps above expectations on better revenues and loadings.

Q3 guidance was well above consensus (\$5.90B/\$2.40/~62% vs Street \$5.61B/\$2.15/60.4%), seasonal to perhaps a touch above with similar drivers (industrial, datacenter, automotive etc, though with possibly weaker PE vs normal patterns). Capex was reiterated at in the \$2-\$3B range for the year, probably closer to the high end (vs ~\$4.6B in 2025).

This was another solid print from the company as industrial strength persists, datacenter accelerates, and automotive grows more positive, and results were pretty clean; the only issue is that a strong beat was likely already expected given those dynamics are fairly well known at this point. From here the questions will probably center around how much longer the industrial cycle can continue (we note this was the company's strongest Q2 QoQ growth since 2009), how long it will take datacenter (currently low double digit % of sales?) to become truly meaningful, what happens to PE into year-end, and whether or not pricing actions can help drive gross margins higher; given we are moving into the 2H we would (as always) also watch seasonality into Q4 (which still appears to be mis-modeled by consensus, something to watch into October).

Overall though we have few nitpicks to go after here and can see good things happening, though given valuation we prefer to look elsewhere in our space for now.

Raising estimates and rolling valuation horizon forward to avg FY27/28, PT raised from \$250 to \$290 (30x, unchanged, on avg FY27/28 EPS). We rate TXN MP.

Investment Implications

TXN (MP, \$290): TXN shares feel fully valued in the current environment.

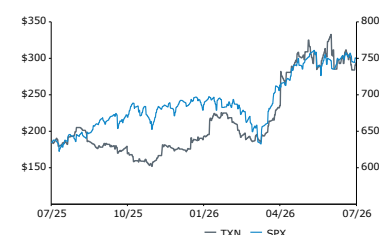
Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
TXN (USD)	5.45	8.33	9.16	EBIT (M)	5,710	8,737	9,764	--	Reported P/E (x)	54.0	35.3	32.1
OLD	--	7.62	8.22	FCF (M)	2,603	8,159	9,523	--				
				Revenues (M)	17,682	21,661	23,171	--				

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	22 Jul 2026			
TXN Close Price (USD)	294.19			
Price Target (USD)	290.00			
Upside/(Downside)	(1)%			
52-Week Range	334.03/152.73			
SPX	7,498.96			
FYE	Dec			
Div Yield	1.9%			
Market Cap (USD) (M)	267,740			
EV (USD) (M)	274,791			
Performance	YTD	1M	6M	12M
Absolute (%)	69.6	(11.5)	50.9	36.9
SPX (%)	9.5	0.4	8.5	18.8
Relative (%)	60.0	(11.8)	42.4	18.0

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

For our updated TXN model please click here: [TXN model](#).

Texas Instruments' Q2 results were strong (\$5,463M/\$2.14/61.4% vs Street at \$5,234M/\$1.93/59.5%, including a 5 cent benefit not in guidance) with continued industrial recovery and datacenter growth, and more positive auto performance. Industrial grew ~30% YoY and ~10% QoQ; Data center doubled Y/Y and rose ~20% QoQ, and Automotive grew mid-teens% YoY and climbed HSD% QoQ. Personal electronics were flat YoY and were up HSD % QoQ, while communications equipment continued to grow YoY and QoQ. Gross margins at 61.4% were ~185bps above expectations on better revenues and loadings.

- Texas Instruments' results beat consensus on revenues and on EPS (\$5,463M/\$2.14 vs Street \$5,234M/\$1.93 and guidance \$5,200M/\$1.91) (**Exhibit 1**).
- Analog, Embedded and Other were all above expectations (**Exhibit 2**).
- Total revenue was up ~13% sequentially, better than typical seasonality (**Exhibit 3**) and grew ~23% YoY.
- Analog sales of \$4,365M were up ~11% QoQ and up ~26% YoY (**Exhibit 5**). Operating margins for the segment were 45.6%, up ~390bps QoQ.
- Embedded Processing sales of \$788M were up ~9% QoQ and up ~16% YoY (**Exhibit 5**). Segment operating margins came in at 21.3%, up ~440bps QoQ.
- Other Revenues of \$310M grew ~74% QoQ and were down ~2% YoY (**Exhibit 5**). Operating margins were 48.4% for the quarter.
- On a sequential basis, Datacenter revenue was up ~20%, Industrial was up ~10%, Auto was up HSD %, Personal Electronics was up HSD%, and Comms equipment grew as well. On a YoY basis, Datacenter grew the fastest (doubled), followed by Industrial (>30%), Auto (mid-teens %), Comms equipment (positive growth), and PE (~flat) (**Exhibit 6**).
- Gross margins were 61.4% vs 58.0% last quarter (**Exhibit 7**), and were ~185bps above street expectations of 59.5% (**Exhibit 8**) due to higher revenue and loadings.
- Opex for the quarter came in at \$1,025M (excluding acquisition expenses of \$17M), higher than our estimate (\$1,010M) and consensus (\$1,006M).

Q3 guidance was well above consensus on revenues and EPS, with margins also above (\$5.90B/\$2.40/~62% vs Street \$5.61B/\$2.15/60.4%), seasonal to perhaps a touch above with similar drivers (industrial, datacenter, automotive etc, though with possibly weaker PE vs normal patterns). Capex was reiterated at in the \$2-\$3B range for the year, probably closer to the high end (vs ~\$4.6B in 2025).

- TXN sees Q326 at \$5.90B/\$2.40, well above Street expectations on revenues and EPS with Street at \$5,614M/\$2.15 (**Exhibit 9**). Revenues are seen up ~8% sequentially, seasonal to perhaps a bit above (**Exhibit 4**).
- Gross margins appear implicitly guided at ~62% or so (**Exhibit 10, Exhibit 11**), above consensus (60.4%).
- Opex is expected to be flattish QoQ (suggesting ~\$1,025M excluding acquisition charges, roughly in-line with consensus expectations of \$1,016M).
- EPS was guided to \$2.40 at the midpoint, above the Street at \$2.15 on higher revenues and margins.
- Management suggested that while Q3 is typically driven by personal electronics, strength will be more broad-based this time with continued upside in Industrial, Data Center and Automotive; it sounded like personal electronics will grow less than usual (unsurprising given the current memory dynamics).

- Capex for the year was reiterated to land between \$2B-\$3B, with capex focus shifting to assembly and test equipment. Management noted capex could possibly skew to high-end of this range given the demand profile.

This was another solid print from the company as industrial strength persists, datacenter accelerates, and automotive grows more positive, and results were pretty clean; the only issue is that a strong beat was likely already expected given those dynamics are fairly well known at this point. From here the questions will probably center around how much longer the industrial cycle can continue (we note that this was the company's strongest Q2 QoQ growth since 2009), how long it will take datacenter (currently low double digit % of sales?) to become truly meaningful, what happens to PE into year-end, and whether or not pricing actions can help drive gross margins higher; given we are moving into the 2H we would (as always) also watch seasonality into Q4 (which still appears to be mis-modeled by consensus, something to watch into October). Overall though we have few nitpicks to go after here and can see good things happening, though given valuation we prefer to look elsewhere in our space for now.

- The analog recovery continues to pick up steam in industrial. Datacenter (power, etc), while not that big for the company (yet) remains (unsurprisingly) strong, doubling YoY in Q2 and accelerating from Q1 (where it rose 90% YoY). And automotive (which has been a touch squishier) seems to be growing more positive.
- From here questions will probably center around how much longer the industrial cycle (which has been going on for quite a few quarters) can persist (we note that this was the company's strongest Q2 QoQ growth since 2009...), how long it will take datacenter (we think currently low double-digit % of sales) to become truly meaningful, what happens to PE into year-end, and whether (or if) pricing can help to drive gross margins structurally higher (we note gross margins are likely going up a bit QoQ into Q3 but not a ton in the context of the sequential volume increase and supposed beginning of some pricing impact).
- Given we are moving into the 2H we would also (as always) call out a watch into Q4 seasonality, which once again may be mis-modeled by consensus; normal seasonal patterns into Q4 generally call for a high single to low double digit sequential decline (even an argument for lower PE exposure probably would not fully eliminate this), whereas consensus remains above this (something to watch into October) (**Exhibit 12**).
- Overall though we have few nitpicks to go after here, and can see good things happening as growth returns and FCF (and FCF/share) build to higher levels. Given valuations though (>30x our new 2027 EPS?) we prefer to look elsewhere for now (**Exhibit 13**).

Other Tidbits:

- Inventories on the balance sheet were down \$90M QoQ at \$4,605M vs last quarter at \$4,695M. Days of inventory came in at 196 vs. 209 last quarter (**Exhibit 14**). Inventory days are below their target range ("over 200 days").
- Cash return for the quarter totaled \$1,322M, combining dividends of \$1,295M and share repurchases of \$27M (**Exhibit 15, Exhibit 16**), while free cash flow grew again sequentially to \$2,738M vs \$1,399M last quarter (**Exhibit 17**).
- Over the last 12 months the company has returned ~90% of FCF, which has come down over the last quarters with FCF improving as the company is now nearing the end of its multi-year capex cycle (**Exhibit 18**).
- Capex was \$514M for the quarter, ~9% of revenue.

We update our model, raising estimates. We roll our valuation horizon forward from FY27 to the average of FY27/28. We raise our price target to \$290 from \$250 previously (30x, unchanged, on avg FY27/28 EPS) and maintain our Market-Perform rating.

- We update our model, raising estimates.
- Given we are halfway through the year, we roll our valuation horizon forward from FY27 to the average of FY27/28.
- We raise our FY2026 revenue estimate from \$20.7B to \$21.6B, FY2027 from \$21.7B to \$23.2B, and FY2028 from \$22.8B to \$24.3B.
- We raise our FY2026 GAAP diluted EPS estimate from \$7.62 to \$8.33, FY2027 from \$8.22 to \$9.16, and FY2028 from \$9.05 to \$9.94.

- We raise our price target from \$250 (~30x, unchanged, on our FY27 GAAP diluted EPS of \$8.22) to \$290 (~30x on the average of our FY27/28 GAAP diluted EPS estimates of ~\$9.55).
- We maintain our Market-Perform rating.

EXHIBIT 1: TXN Q2 results were above the high-end of the guidance and beat consensus both on top and bottom-line.

	Q226	Prior Guidance	Actual	Consensus	Actual vs. Consensus	Bernstein	Actual vs. Bernstein
Revenue (\$M)		\$5,200	\$5,463	\$5,234	\$229	\$5,201	\$262
EPS		\$1.91	\$2.14	\$1.93	\$0.21	\$1.91	\$0.23

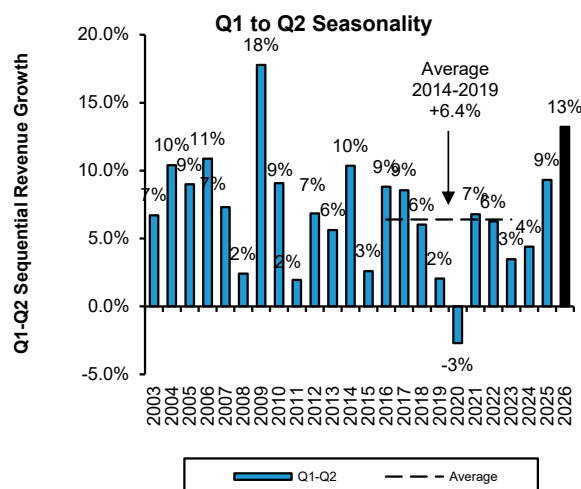
Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 2: All segments were above expectations

Q226 Actual vs Cons (\$M)	Analog	Embedded	Other
Actual	\$4,365	\$788	\$310
Consensus	\$4,229	\$775	\$250
Difference	\$136	\$13	\$60
Bernstein	\$4,199	\$752	\$251
Difference	\$166	\$36	\$59

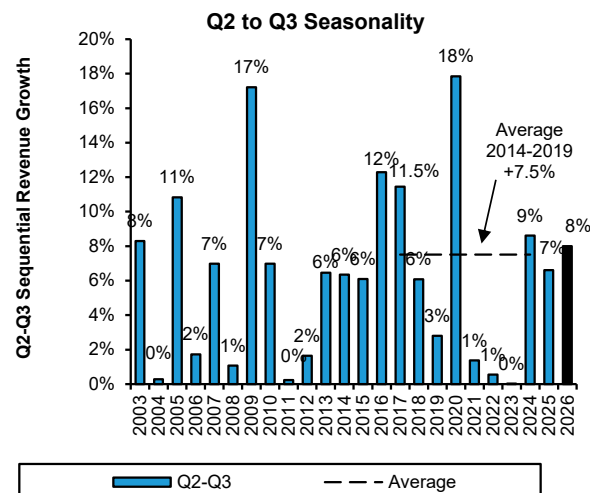
Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 3: Q2 revenues were up 13%, above seasonality (and the strongest since 2009)...



Source: Company reports, Bernstein analysis

EXHIBIT 4: ... with Q3 guided up ~8% QoQ, roughly in-line to above typical seasonality

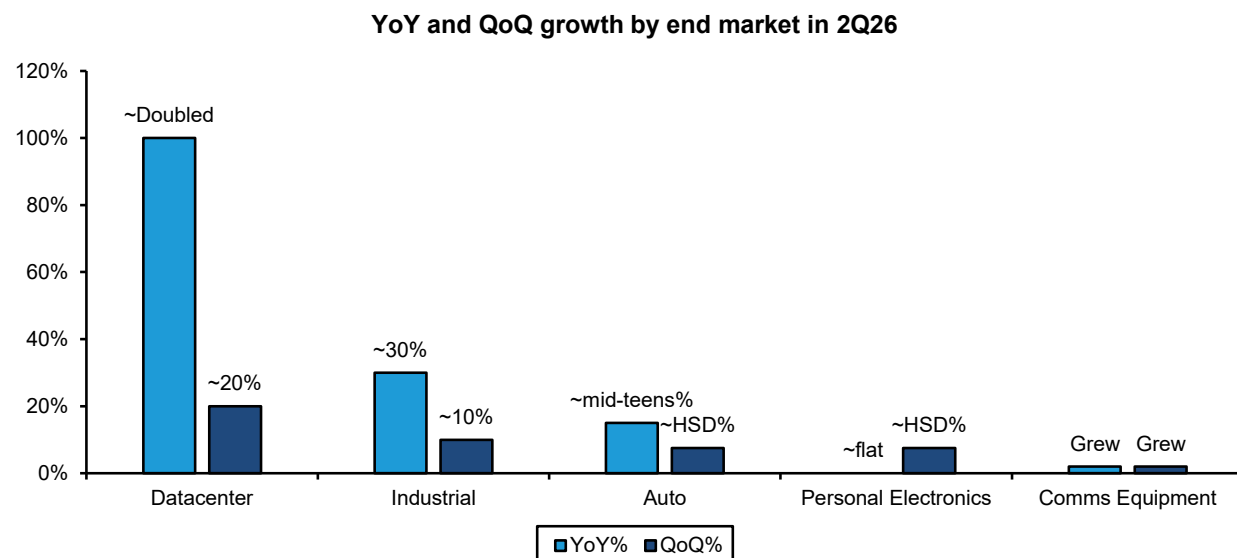


Source: Company reports, Bernstein analysis

EXHIBIT 5: Analog and Embedded were both up YoY and up QoQ, while Other revenue was up sequentially and down slightly YoY

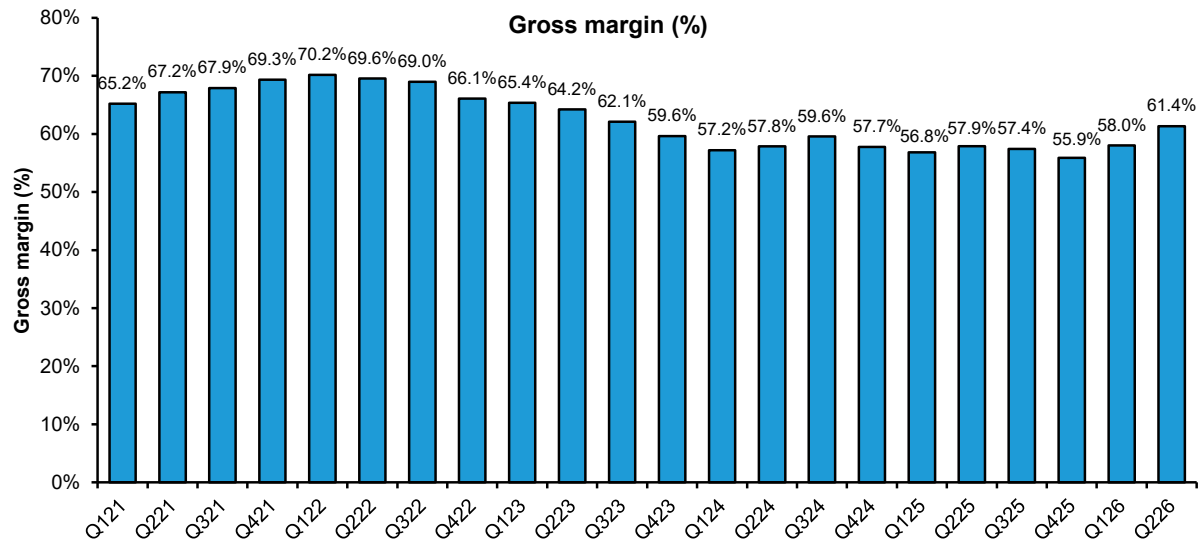
	Q122	Q222	Q322	Q422	Q123	Q223	Q323	Q423	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226
Analog																		
Revenue (\$M)	\$ 3,816	\$ 3,992	\$ 3,993	\$ 3,558	\$ 3,289	\$ 3,278	\$ 3,353	\$ 3,120	\$ 2,836	\$ 2,928	\$ 3,223	\$ 3,174	\$ 3,210	\$ 3,452	\$ 3,729	\$ 3,615	\$ 3,924	\$ 4,365
QoQ Growth	2%	5%	0%	(11%)	(8%)	(0%)	2%	(7%)	(9%)	3%	10%	(2%)	1%	8%	8%	(3%)	9%	11%
YoY Growth	16%	15%	13%	(5%)	(14%)	(18%)	(16%)	(12%)	(14%)	(11%)	(4%)	2%	13%	18%	16%	14%	22%	26%
Operating Profit (\$M)	\$ 2,150	\$ 2,226	\$ 2,185	\$ 1,798	\$ 1,574	\$ 1,463	\$ 1,504	\$ 1,280	\$ 1,008	\$ 1,047	\$ 1,316	\$ 1,237	\$ 1,206	\$ 1,325	\$ 1,486	\$ 1,395	\$ 1,638	\$ 1,992
Operating Margin	56.3%	55.8%	54.7%	50.5%	47.9%	44.6%	44.9%	41.0%	35.5%	35.8%	40.8%	39.0%	37.6%	38.4%	39.8%	38.6%	41.7%	45.6%
Embedded Processing																		
Revenue (\$M)	\$ 782	\$ 821	\$ 821	\$ 837	\$ 832	\$ 894	\$ 890	\$ 752	\$ 652	\$ 615	\$ 653	\$ 613	\$ 647	\$ 679	\$ 709	\$ 662	\$ 723	\$ 788
QoQ Growth	2%	5%	-	2%	(1%)	7%	(0%)	(16%)	(13%)	(6%)	6%	(6%)	6%	5%	4%	(7%)	9%	9%
YoY Growth	2%	5%	11%	10%	6%	9%	8%	(10%)	(22%)	(31%)	(27%)	(18%)	(1%)	10%	9%	8%	12%	16%
Operating Profit (\$M)	\$ 315	\$ 324	\$ 321	\$ 293	\$ 237	\$ 318	\$ 258	\$ 195	\$ 105	\$ 80	\$ 109	\$ 58	\$ 40	\$ 85	\$ 108	\$ 71	\$ 122	\$ 168
Operating Margin	40.3%	39.5%	39.1%	35.0%	28.5%	35.6%	29.0%	25.9%	16.1%	13.0%	16.7%	9.5%	6.2%	12.5%	15.2%	10.7%	16.9%	21.3%
Other																		
Revenue (\$M)	\$ 307	\$ 399	\$ 427	\$ 275	\$ 258	\$ 359	\$ 289	\$ 205	\$ 173	\$ 279	\$ 275	\$ 220	\$ 212	\$ 317	\$ 304	\$ 146	\$ 178	\$ 310
QoQ Growth	(1%)	30%	7%	(36%)	(6%)	39%	(19%)	(29%)	(16%)	61%	(1%)	(20%)	(4%)	50%	(4%)	(52%)	22%	74%
YoY Growth	27%	19%	20%	(11%)	(16%)	(10%)	(32%)	(25%)	(33%)	(22%)	(5%)	7%	23%	14%	11%	(34%)	(16%)	(2%)
Operating Profit (\$M)	\$ 98	\$ 173	\$ 172	\$ 85	\$ 123	\$ 191	\$ 130	\$ 58	\$ 173	\$ 121	\$ 129	\$ 82	\$ 78	\$ 153	\$ 69	\$ 7	\$ 48	\$ 150
Operating Margin	31.9%	43.4%	40.3%	30.9%	47.7%	53.2%	45.0%	28.3%	100.0%	43.4%	46.9%	37.3%	36.8%	48.3%	22.7%	4.8%	27.0%	48.4%
Total																		
Revenue (\$M)	\$ 4,905	\$ 5,212	\$ 5,241	\$ 4,670	\$ 4,379	\$ 4,531	\$ 4,532	\$ 4,077	\$ 3,661	\$ 3,822	\$ 4,151	\$ 4,007	\$ 4,069	\$ 4,448	\$ 4,742	\$ 4,423	\$ 4,825	\$ 5,463
QoQ Growth	2%	6%	1%	(11%)	(6%)	3%	0%	(10%)	(10%)	4%	9%	(3%)	2%	9%	7%	(7%)	9%	13%
YoY Growth	14%	14%	13%	(3%)	(11%)	(13%)	(14%)	(13%)	(16%)	(16%)	(8%)	(2%)	11%	16%	14%	10%	19%	23%
Operating Profit (\$M)	\$ 2,563	\$ 2,723	\$ 2,678	\$ 2,176	\$ 1,934	\$ 1,972	\$ 1,892	\$ 1,533	\$ 1,286	\$ 1,248	\$ 1,554	\$ 1,377	\$ 1,324	\$ 1,563	\$ 1,663	\$ 1,473	\$ 1,808	\$ 2,310
Operating Margin	52.3%	52.2%	51.1%	46.6%	44.2%	43.5%	41.7%	37.6%	35.1%	32.7%	37.4%	34.4%	32.5%	35.1%	35.1%	33.3%	37.5%	42.3%

Source: Company reports, Bernstein analysis

EXHIBIT 6: Datacenter and Industrial grew the strongest in the quarter on a YoY basis


Source: Company reports, Bernstein analysis

EXHIBIT 7: **Gross margins were up ~335bps QoQ...**



Source: Company reports, Bernstein analysis

EXHIBIT 8: ...and beat expectations by ~185bps

	TXN Gross Margins		
	Consensus	Actual	Δ (bps)
Q415	57.6%	58.5%	90
Q116	58.4%	60.6%	220
Q216	60.4%	61.2%	76
Q316	61.7%	62.0%	30
Q416	61.6%	62.5%	87
Q117	62.2%	63.0%	76
Q217	63.3%	64.3%	100
Q317	64.1%	64.5%	40
Q417	65.1%	65.1%	-
Q118	64.3%	64.6%	28
Q218	64.8%	65.2%	35
Q318	65.4%	65.8%	41
Q419	64.5%	64.8%	30
Q119	63.4%	62.9%	(53)
Q219	63.4%	64.3%	96
Q319	64.8%	64.9%	6
Q419	62.6%	62.6%	(3)
Q120	61.8%	62.7%	93
Q220	61.4%	64.3%	286
Q320	64.4%	64.3%	(14)
Q420	64.1%	64.9%	82
Q121	64.7%	65.2%	48
Q221	65.8%	67.2%	138
Q321	67.0%	67.9%	87
Q421	67.2%	69.3%	212
Q122	69.1%	70.2%	112
Q222	69.2%	69.6%	35
Q322	68.8%	69.0%	17
Q422	66.7%	66.1%	(64)
Q123	64.3%	65.4%	104
Q223	64.5%	64.2%	(31)
Q323	62.9%	62.1%	(79)
Q423	60.1%	59.6%	(46)
Q124	56.5%	57.2%	74
Q224	57.1%	57.8%	76
Q324	58.4%	59.6%	116
Q424	57.2%	57.7%	53
Q125	55.4%	56.8%	142
Q225	57.2%	57.9%	66
Q325	57.7%	57.4%	(31)
Q425	54.9%	55.9%	104
Q126	56.1%	58.0%	188
Q226	59.5%	61.4%	185
Average	62.2%	62.9%	65

Source: Bloomberg, Company reports, Bernstein analysis

EXHIBIT 9: **Q326 guidance was above consensus on revenues, gross margin and on EPS****Q226 Results, Q326 Guidance**

Metric	Q226 Results	Q326 Company Guidance	Guidance Midpoint	Prior Consensus Expectations for Q326
Revenue (\$M)	\$5,463	\$5,650-\$6,150	\$5,900	\$5,614
EPS	\$2.14	\$2.23-\$2.57	\$2.40	\$2.15
Gross Margin (%)	61.4%	~62% (implied)		60.4%
Opex	\$1,025	Flattish QoQ		\$1,016

Source: Company reports, Bloomberg estimates, Bernstein analysis

EXHIBIT 10: **The Q3 guide implies gross margins at ~62%, roughly up ~50bps sequentially**

	Q226A	Q326 Implied Guidance	Δ
Revenue	\$5,463	\$5,900	8.0%
COGS	\$2,111	\$2,248	6.5%
Gross Profit	\$3,352	\$3,652	8.9%
Gross Margin %	61.4%	61.9%	54
R&D+SG&A	\$1,025	\$1,025	0.0%
Acquisition+Restructuring	\$17	\$17	
Expenses	\$1,042	\$1,042	0.0%
Operating Profit	\$2,310	\$2,610	13.0%
Other Income + Interest expense	-\$72	(\$72)	
EBT	\$2,238	\$2,538	13.4%
Taxes	\$258	\$330	27.9%
Tax Rate	11.5%	13.0%	147
Net Income	\$1,980	\$2,208	11.5%
ASC 260	\$0	\$0	
Net Income	\$1,980	\$2,208	11.5%
Diluted Shares	920	920	0.0%
EPS	\$2.14	\$2.40	12.1%

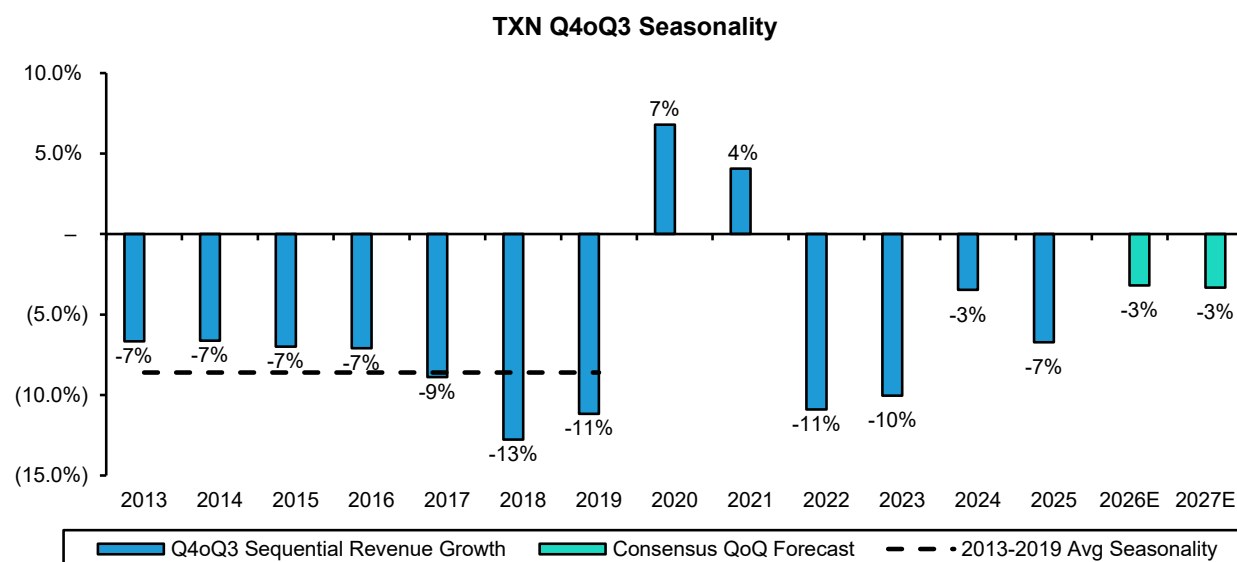
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 11: **Implied gross margins appear expected to come in at ~62%****Implied Q3 Gross Margin**

		Q326E Other Income + Net Interest Expense (\$M)			
		-\$90.0	-\$80.0	-\$70.0	-\$60.0
Q2 tax rate	12.5%	62.0%	61.8%	61.6%	61.4%
	12.8%	62.1%	61.9%	61.7%	61.6%
	13.0%	62.2%	62.0%	61.9%	61.7%
	13.3%	62.3%	62.2%	62.0%	61.8%
	13.5%	62.5%	62.3%	62.1%	61.9%

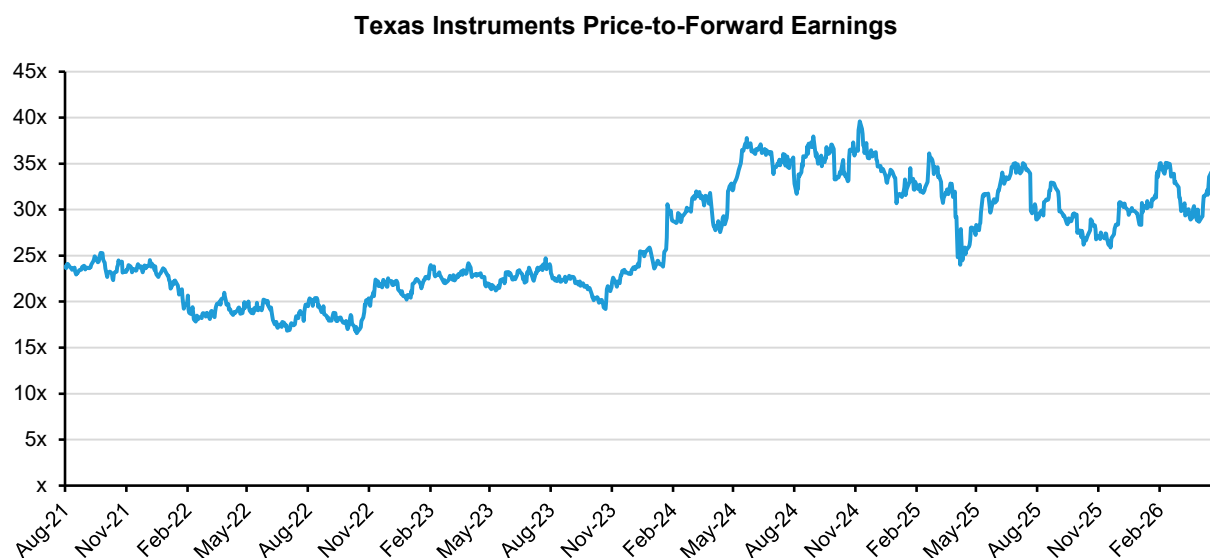
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **Q4 revenue estimates again appear potentially mis modeled, with street estimates only down ~LSD% sequentially, above pre-COVID seasonality of down ~HSD% to ~LDD%**



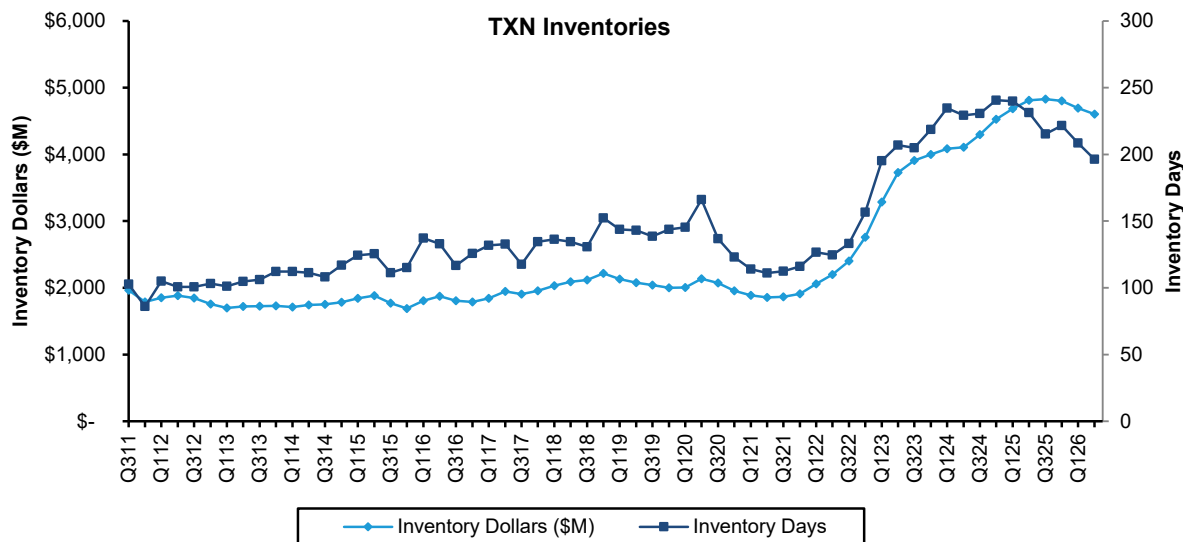
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 13: **TXN remains richly valued**



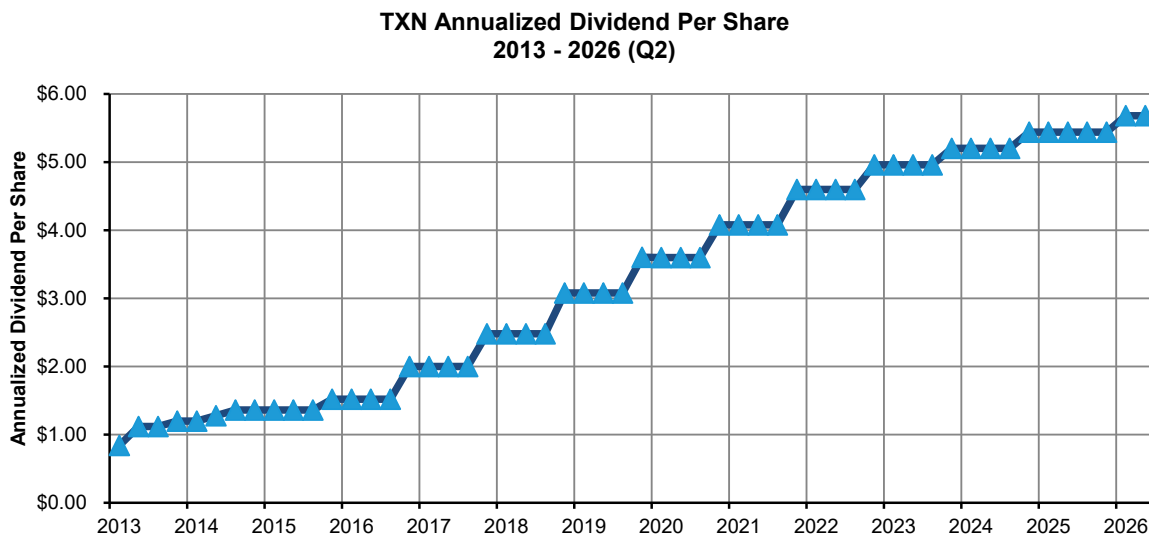
Source: Bloomberg, Bernstein analysis

EXHIBIT 14: In Q2, TXN inventories declined \$90M QoQ, and inventory days declined to 196 days vs. 209 in Q1



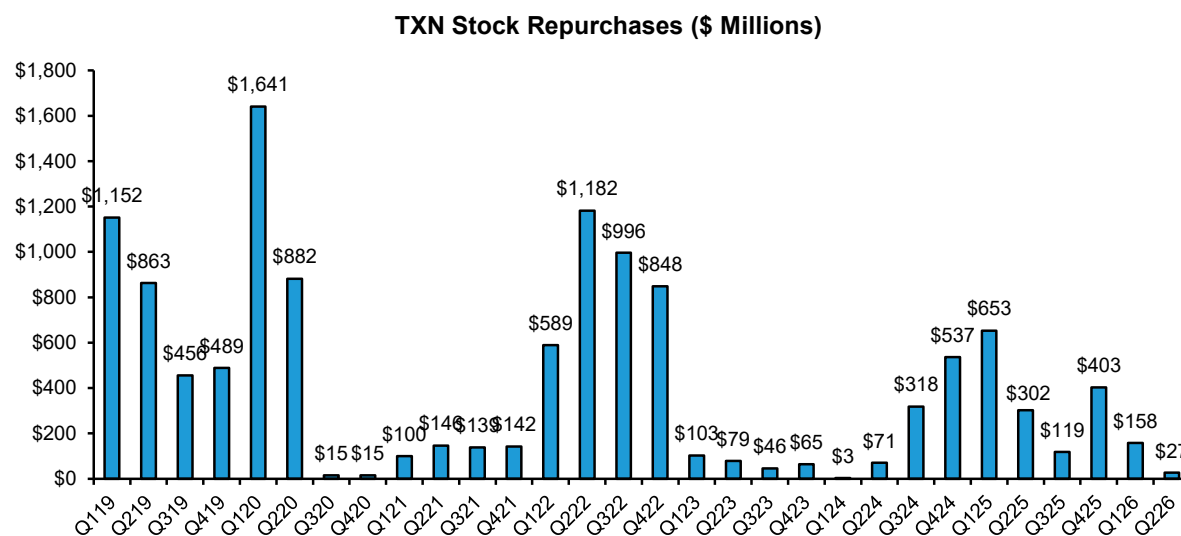
Source: Company reports, Bernstein analysis

EXHIBIT 15: Dividends have been increasing every year with annualized dividends in 2026 up ~4% YoY



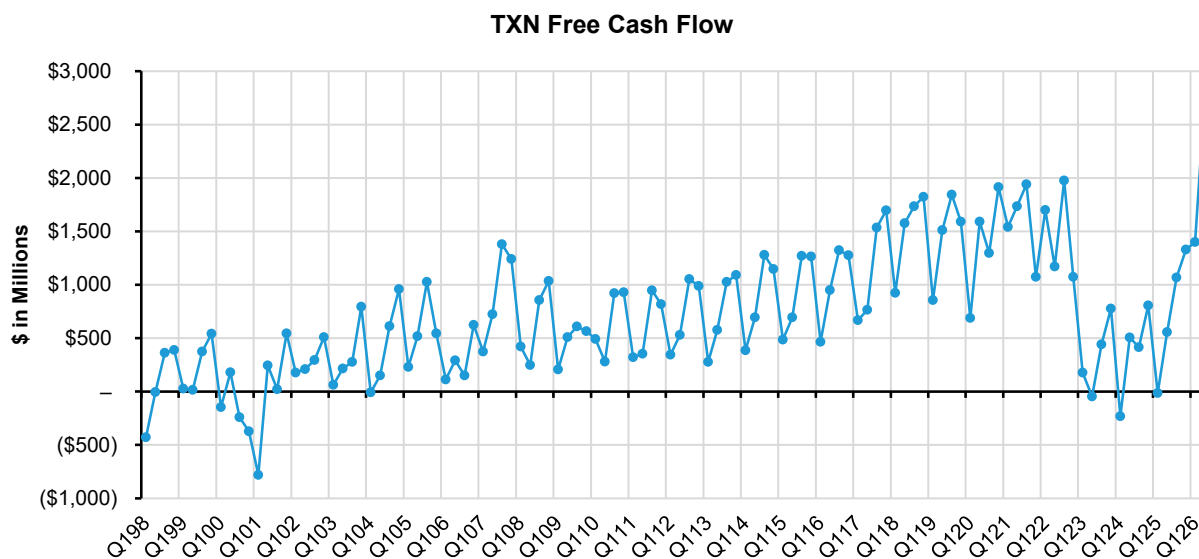
Source: Company reports, Bernstein analysis

EXHIBIT 16: **TXN bought back \$27M of shares in Q2**



Source: Company reports, Bernstein analysis

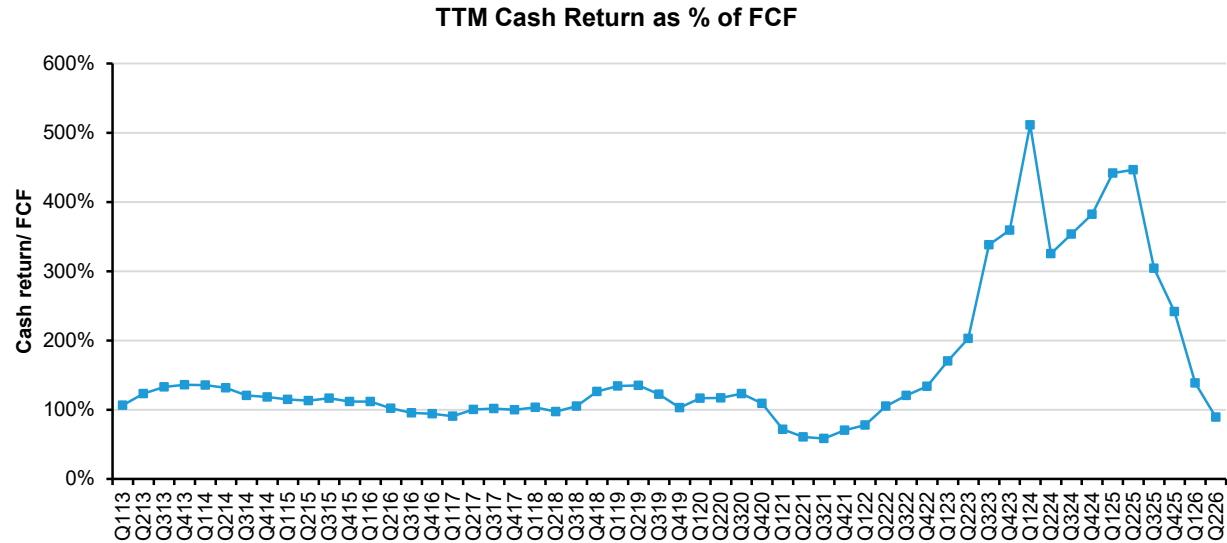
EXHIBIT 17: **TXN FCF was up meaningfully QoQ in Q2 given higher revenues and CHIPS Act incentives**



Since 2025 FCF includes CHIPS Act incentives (grants and investment tax credits) received

Source: Company reports, Bernstein analysis

EXHIBIT 18: **TTM cash returns as % of FCF have been coming down as FCF has begun to inflect up, with Q2 at 89%**



Source: Company reports, Bernstein analysis

EXHIBIT 19: TXN Income Statement

Texas Instruments: Income Statement (\$ MM)																
TXN (Calendar Years)	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Revenue	17,682.0	21,661.1	23,171.2	24,336.7	4,069.0	4,448.0	4,742.0	4,423.0	4,825.0	5,463.0	5,901.7	5,471.4	5,411.3	5,832.7	6,185.1	5,742.2
COGS	7,599.0	8,480.8	8,830.5	9,040.5	1,756.0	1,873.0	2,019.0	1,951.0	2,026.0	2,111.0	2,244.4	2,099.3	2,089.7	2,220.0	2,334.8	2,186.0
Gross Profit	10,083.0	13,180.4	14,340.7	15,296.2	2,313.0	2,575.0	2,723.0	2,472.0	2,799.0	3,352.0	3,657.3	3,372.1	3,321.6	3,612.6	3,850.2	3,556.3
R&D	2,083.0	2,120.4	2,232.0	2,322.0	517.0	527.0	518.0	521.0	510.0	535.0	535.0	540.4	551.2	562.2	556.6	562.1
SG&A	1,860.0	1,938.9	2,044.3	2,126.7	472.0	485.0	457.0	446.0	464.0	490.0	490.0	494.9	504.8	514.9	509.7	514.8
Other Operating Expenses	117.0	68.0	-	-	-	-	85.0	32.0	17.0	17.0	17.0	17.0	-	-	-	-
Total Operating Expenses	4,060.0	4,127.3	4,276.3	4,448.6	989.0	1,012.0	1,060.0	999.0	991.0	1,042.0	1,042.0	1,052.3	1,056.0	1,077.1	1,066.3	1,077.0
Operating Income	6,023.0	9,053.1	10,064.4	10,847.6	1,324.0	1,563.0	1,663.0	1,473.0	1,808.0	2,310.0	2,615.3	2,319.8	2,265.6	2,535.6	2,783.9	2,479.3
Other Income (Expense), Net	(313.0)	(316.0)	(300.0)	(300.0)	(48.0)	(85.0)	(79.0)	(101.0)	(94.0)	(72.0)	(75.0)	(75.0)	(75.0)	(75.0)	(75.0)	(75.0)
Pre-Tax Income	5,710.0	8,737.1	9,764.4	10,547.6	1,276.0	1,478.0	1,584.0	1,372.0	1,714.0	2,238.0	2,540.3	2,244.8	2,190.6	2,460.6	2,708.9	2,404.3
Tax provision (Benefit)	709.0	1,049.1	1,318.2	1,423.9	97.0	183.0	220.0	209.0	169.0	258.0	330.2	291.8	295.7	332.2	365.7	324.6
Earnings of Disc. Ops & Other	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
GAAP Net Income	5,001.0	7,688.0	8,446.2	9,123.7	1,179.0	1,295.0	1,364.0	1,163.0	1,545.0	1,980.0	2,210.1	1,953.0	1,894.9	2,128.4	2,343.2	2,079.7
Impact of ASC 260 (assume 0.5% of Net Income)	\$ (26.2)	\$ (38.4)	\$ (42.2)	\$ (45.6)	\$ (5.9)	\$ (6.5)	\$ (6.8)	\$ (7.0)	\$ (7.7)	\$ (9.9)	\$ (11.1)	\$ (9.8)	\$ (9.5)	\$ (10.6)	\$ (11.7)	\$ (10.4)
GAAP EPS, Basic	\$ 5.48	\$ 8.39	\$ 9.24	\$ 10.03	\$ 1.29	\$ 1.42	\$ 1.49	\$ 1.27	\$ 1.69	\$ 2.16	\$ 2.41	\$ 2.13	\$ 2.07	\$ 2.33	\$ 2.56	\$ 2.28
GAAP EPS, Diluted	\$ 5.45	\$ 8.33	\$ 9.16	\$ 9.94	\$ 1.28	\$ 1.41	\$ 1.48	\$ 1.27	\$ 1.68	\$ 2.14	\$ 2.39	\$ 2.11	\$ 2.05	\$ 2.31	\$ 2.54	\$ 2.26
Shares Outstanding, Basic	909	911	910	906	910	908	909	907	909	912	912	912	911	910	909	908
Shares Outstanding, Diluted	913	919	918	914	916	912	914	911	914	920	920	920	919	918	917	916
Margins	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Gross Margin	57.0%	60.8%	61.9%	62.9%	56.8%	57.9%	57.4%	55.9%	58.0%	61.4%	62.0%	61.6%	61.4%	61.9%	62.3%	61.9%
PF Gross Margin																
% R&D	11.8%	9.8%	9.6%	9.5%	12.7%	11.8%	10.9%	11.8%	10.6%	9.8%	9.1%	9.9%	10.2%	9.6%	9.0%	9.8%
% SG&A	10.5%	9.0%	8.8%	8.7%	11.6%	10.9%	9.6%	10.1%	9.6%	9.0%	8.3%	9.0%	9.3%	8.8%	8.2%	9.0%
% Other Op. Expenses	0.7%	0.3%	0.0%	0.0%	0.0%	0.0%	1.8%	0.7%	0.4%	0.3%	0.3%	0.3%	0.0%	0.0%	0.0%	0.0%
Operating Margin	34.1%	41.8%	43.4%	44.6%	32.5%	35.1%	35.1%	33.3%	37.5%	42.3%	44.3%	42.4%	41.9%	43.5%	45.0%	43.2%
Tax Rate	12.4%	12.0%	13.5%	13.5%	7.6%	12.4%	13.9%	15.2%	9.9%	11.5%	13.0%	13.0%	13.5%	13.5%	13.5%	13.5%
Net Income Margin	28.3%	35.5%	36.5%	37.5%	29.0%	29.1%	28.8%	26.3%	32.0%	36.2%	37.4%	35.7%	35.0%	36.5%	37.9%	36.2%
Year over Year Growth (%)	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Revenues	13.0%	22.5%	7.0%	5.0%	11.1%	16.4%	14.2%	10.4%	18.6%	22.8%	24.5%	23.7%	12.2%	6.8%	4.8%	5.0%
Operating Income	10.2%	50.3%	11.2%	7.8%	3.0%	25.2%	7.0%	7.0%	36.6%	47.8%	57.3%	57.5%	25.3%	9.8%	6.4%	6.9%
Net Income	4.2%	53.7%	9.9%	8.0%	6.7%	14.9%	0.1%	-3.5%	31.0%	52.9%	62.0%	67.9%	22.6%	7.5%	6.0%	6.5%
Shares Outstanding, Diluted	-0.6%	0.5%	-0.1%	-0.4%	-0.1%	-0.8%	-0.6%	-0.9%	-0.2%	0.8%	0.7%	1.0%	0.5%	-0.2%	-0.3%	-0.4%
GAAP EPS, Diluted	4.8%	52.8%	10.0%	8.5%	6.8%	15.8%	0.8%	-2.7%	31.3%	51.6%	61.0%	66.5%	22.0%	7.7%	6.4%	7.0%
Sequential Growth (%)	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Revenue					1.5%	9.3%	6.6%	-6.7%	9.1%	13.2%	8.0%	-7.3%	-1.1%	7.8%	6.0%	-7.2%
Operating Income					-3.8%	18.1%	6.4%	-11.4%	22.7%	27.8%	13.2%	-11.3%	-2.3%	11.9%	9.8%	-10.9%
GAAP EPS, Diluted					-1.8%	10.3%	5.1%	-14.5%	32.5%	27.3%	11.6%	-11.6%	-2.9%	12.4%	10.2%	-11.1%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 20: TXN Balance Sheet and Cash Flow Statement

Texas Instruments: Balance Sheet (\$ MM)																
TXN (Calendar Years)	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Cash & Short Term Investments	4,881.0	9,441.9	11,464.0	13,661.9	5,005.0	5,359.0	5,186.0	4,881.0	5,103.0	7,001.0	7,656.8	9,441.9	9,338.4	9,524.1	9,921.6	11,464.0
Accounts Receivable	1,963.0	2,370.0	2,420.0	2,470.0	1,860.0	1,934.0	2,062.0	1,963.0	2,245.0	2,520.0	2,570.0	2,370.0	2,470.0	2,570.0	2,620.0	2,420.0
Inventories	4,804.0	4,665.2	4,857.7	4,964.7	4,687.0	4,812.0	4,829.0	4,804.0	4,695.0	4,605.0	4,738.3	4,665.2	4,759.8	4,810.0	4,929.1	4,857.7
Other Current Assets	2,102.0	1,631.0	1,631.0	1,631.0	1,534.0	2,379.0	1,799.0	2,102.0	1,753.0	1,631.0	1,631.0	1,631.0	1,631.0	1,631.0	1,631.0	1,631.0
Total Current Assets	13,750.0	18,108.1	20,372.7	22,727.6	13,086.0	14,484.0	13,876.0	13,750.0	13,796.0	15,757.0	16,596.1	18,108.1	18,199.2	18,535.2	19,101.7	20,372.7
Net PP&E	12,320.0	12,185.4	12,179.8	12,204.9	11,811.0	12,321.0	12,348.0	12,320.0	12,145.0	11,911.0	12,040.0	12,185.4	12,202.3	12,211.8	12,205.6	12,179.8
Goodwill	4,330.0	4,330.0	4,330.0	4,330.0	4,362.0	4,362.0	4,362.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0	4,330.0
Other Long-Term Assets	4,185.0	3,384.0	3,384.0	3,384.0	4,498.0	3,766.0	4,418.0	4,185.0	4,122.0	3,884.0	4,134.0	3,384.0	3,634.0	3,884.0	4,134.0	3,384.0
Total Long-Term Assets	20,835.0	19,899.4	19,893.8	19,918.9	20,671.0	20,449.0	21,128.0	20,835.0	20,597.0	20,125.0	20,504.0	19,899.4	20,166.3	20,425.8	20,669.6	19,893.8
Total Assets	34,585.0	38,007.5	40,266.4	42,646.5	33,757.0	34,933.0	35,004.0	34,585.0	34,393.0	35,882.0	37,100.0	38,007.5	38,365.5	38,960.9	39,771.3	40,266.4
Accounts Payable	756.0	680.0	680.0	680.0	866.0	881.0	779.0	756.0	638.0	680.0	680.0	680.0	680.0	680.0	680.0	680.0
Short Term Debt	500.0	1,149.0	1,149.0	1,149.0	-	-	500.0	500.0	1,149.0	1,149.0	1,149.0	1,149.0	1,149.0	1,149.0	1,149.0	1,149.0
Other Current Liabilities	1,903.0	1,415.0	1,415.0	1,415.0	1,623.0	1,611.0	1,839.0	1,903.0	1,309.0	1,415.0	1,415.0	1,415.0	1,415.0	1,415.0	1,415.0	1,415.0
Total Current Liabilities	3,159.0	3,244.0	3,244.0	3,244.0	2,489.0	2,492.0	3,118.0	3,159.0	3,096.0	3,244.0	3,244.0	3,244.0	3,244.0	3,244.0	3,244.0	3,244.0
Long Term Debt	13,548.0	12,903.0	12,903.0	12,903.0	12,848.0	14,043.0	13,546.0	13,548.0	12,901.0	12,903.0	12,903.0	12,903.0	12,903.0	12,903.0	12,903.0	12,903.0
Other Long Term Liabilities	1,605.0	2,128.0	2,928.0	3,728.0	2,014.0	1,995.0	1,713.0	1,605.0	1,618.0	1,728.0	1,928.0	2,128.0	2,328.0	2,528.0	2,728.0	2,928.0
Total Liabilities	18,312.0	18,275.0	19,075.0	19,875.0	17,351.0	18,530.0	18,377.0	18,312.0	17,615.0	17,875.0	18,075.0	18,275.0	18,475.0	18,675.0	18,875.0	19,075.0
Shareholders' Equity	16,273.0	19,732.5	21,191.4	22,771.5	16,406.0	16,403.0	16,627.0	16,273.0	16,778.0	18,007.0	19,025.0	19,732.5	19,890.5	20,285.9	20,896.3	21,191.4
Total Liabilities & Shareholders' Equity	34,585.0	38,007.5	40,266.4	42,646.5	33,757.0	34,933.0	35,004.0	34,585.0	34,393.0	35,882.0	37,100.0	38,007.5	38,365.5	38,960.9	39,771.3	40,266.4

Texas Instruments: Cash Flow Statement (\$MM)																
TXN (Calendar Years)	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Net Income	5,001.0	7,688.0	8,446.2	9,123.7	1,179.0	1,295.0	1,364.0	1,163.0	1,545.0	1,980.0	2,210.1	1,953.0	1,894.9	2,128.4	2,343.2	2,079.7
Depreciation & Amortization	1,999.0	2,358.1	2,688.4	2,806.3	444.0	481.0	517.0	557.0	562.0	568.0	600.5	627.6	632.9	657.9	684.6	712.9
Share-based Comp	419.0	483.2	513.2	533.8	116.0	129.0	93.0	81.0	109.0	127.0	123.0	124.2	126.7	129.2	128.0	129.2
Other	(266.0)	321.8	557.5	643.0	(890.0)	(45.0)	216.0	453.0	(696.0)	28.0	(233.3)	1,223.1	(244.7)	(200.2)	(219.0)	1,221.4
Cash Flow from Operations	7,153.0	10,851.2	12,205.3	13,106.8	849.0	1,860.0	2,190.0	2,254.0	1,520.0	2,703.0	2,700.3	3,927.9	2,409.9	2,715.4	2,936.8	4,143.2
Capex	(4,550.0)	(2,692.5)	(2,682.8)	(2,831.4)	(1,123.0)	(1,305.0)	(1,197.0)	(925.0)	(676.0)	(514.0)	(729.5)	(773.0)	(649.8)	(667.4)	(678.5)	(687.0)
Other	3,111.0	(559.0)	-	-	2,376.0	(30.0)	516.0	249.0	629.0	(1,188.0)	-	-	-	-	-	-
Cash Flow from Investments	(1,439.0)	(3,251.5)	(2,682.8)	(2,831.4)	1,253.0	(1,335.0)	(681.0)	(676.0)	(47.0)	(1,702.0)	(729.5)	(773.0)	(649.8)	(667.4)	(678.5)	(687.0)
Net Stock Repurchase	(1,477.0)	(385.0)	(2,600.0)	(3,200.0)	(653.0)	(302.0)	(119.0)	(403.0)	(158.0)	(27.0)	(100.0)	(100.0)	(650.0)	(650.0)	(650.0)	(650.0)
Dividends	(4,999.0)	(5,230.8)	(5,220.4)	(5,197.5)	(1,238.0)	(1,235.0)	(1,236.0)	(1,290.0)	(1,291.0)	(1,295.0)	(1,295.0)	(1,349.8)	(1,293.6)	(1,292.2)	(1,290.8)	(1,343.8)
Other	787.0	892.0	320.0	320.0	(648.0)	1,293.0	113.0	29.0	300.0	432.0	80.0	80.0	80.0	80.0	80.0	80.0
Cash Flow from Financing	(5,689.0)	(4,723.8)	(7,500.4)	(8,077.5)	(2,539.0)	(244.0)	(1,242.0)	(1,664.0)	(1,149.0)	(890.0)	(1,315.0)	(1,369.8)	(1,863.6)	(1,862.2)	(1,860.8)	(1,913.8)
Cash + STI at Beginning of Period	7,580.0	4,881.0	9,441.9	11,464.0	7,580.0	5,005.0	5,359.0	5,186.0	4,881.0	5,103.0	7,001.0	7,656.8	9,441.9	9,338.4	9,524.1	9,921.6
Cash + STI at End of Period	4,881.0	9,441.9	11,464.0	13,661.9	5,005.0	5,359.0	5,186.0	4,881.0	5,103.0	7,001.0	7,656.8	9,441.9	9,338.4	9,524.1	9,921.6	11,464.0

TXN (Calendar Years)	2025	2026E	2027E	2028E	Q125	Q225	Q325	Q425	Q126	Q226	Q326E	Q426E	Q127E	Q227E	Q327E	Q427E
Cash Flow from Operations	7,153.0	10,851.2	12,205.3	13,106.8	849.0	1,860.0	2,190.0	2,254.0	1,520.0	2,703.0	2,700.3	3,927.9	2,409.9	2,715.4	2,936.8	4,143.2
subtract Capex	(4,550.0)	(2,692.5)	(2,682.8)	(2,831.4)	(1,123.0)	(1,305.0)	(1,197.0)	(925.0)	(676.0)	(514.0)	(729.5)	(773.0)	(649.8)	(667.4)	(678.5)	(687.0)
FCF	2,603.0	8,158.7	9,522.5	10,275.4	(274.0)	555.0	993.0	1,329.0	844.0	2,189.0	1,970.8	3,154.9	1,760.1	2,047.9	2,258.3	3,456.2
FCF/Diluted Share	2.83	8.83	10.32	11.19	(0.30)	0.60	1.08	1.45	0.92	2.37	2.13	3.41	1.90	2.22	2.45	3.75
Operating Income	6,023.0	9,053.1	10,064.4	10,847.6	1,324.0	1,563.0	1,663.0	1,473.0	1,808.0	2,310.0	2,615.3	2,319.8	2,265.6	2,535.6	2,783.9	2,479.3
add back D&A	1,999.0	2,358.1	2,688.4	2,806.3	444.0	481.0	517.0	557.0	562.0	568.0	600.5	627.6	632.9	657.9	684.6	712.9
EBITDA	8,022.0	11,411.2	12,752.8	13,653.9	1,768.0	2,044.0	2,180.0	2,030.0	2,370.0	2,878.0	3,215.8	2,947.4	2,898.6	3,193.5	3,468.6	3,192.2

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	22 Jul 2026	Price	TTM	Reported EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
TXN (Texas Instruments)	M	USD	294.19	290.00	18.0%	USD	5.45	8.33	9.16	54.0	35.3	32.1
OLD				250.00				7.62	8.22			
SPX			7,498.96									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY**Texas Instruments Inc**

For TXN, we assign a ~30x multiple to average of our FY27/28 GAAP dil. EPS estimates (~\$9.55) to arrive at a price target of \$290.

RISKS**Texas Instruments Inc**

Upside risks include better than expected recovery, higher gross margins, or better cash generation and return. Downside risks include worse than expected recoveries, share losses (in China and/or elsewhere), or further gross margin degradation.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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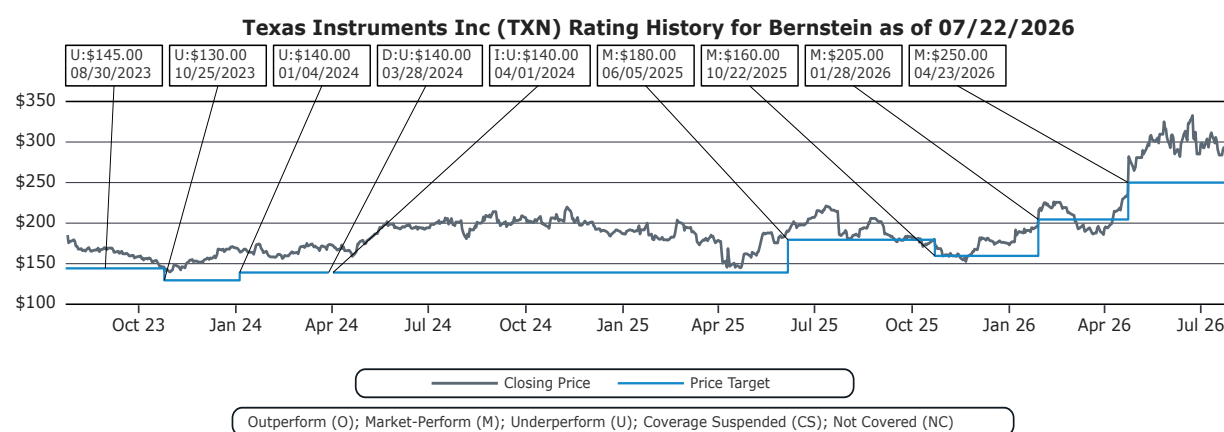
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